

Nasdaq 100 Outperforms as Tech Stocks Rally, Dow Jones Slides 1.09%

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Nasdaq 100 led the charge, rising **+0.27%** as tech stocks like **NVDA** and **AVGO** surged **+3.65%** and **+4.83%** respectively. However, the Dow Jones slid **-1.09%** as financials and industrials weighed on the index.

Below the surface, the 10Y yield jumped **+0.88%** to 4.57, while the VIX spiked **+4.77%** to 16.90, indicating increased market volatility. The DXY dipped **-0.06%** to 100.99, while WTI crude rose **+1.02%** to 74.27.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,482.71	-0.28%	Weighed down by financials and industrials
Nasdaq 100	29,252.56	+0.27%	Tech stocks rallied, led by NVDA and AVGO
Dow Jones	52,348.39	-1.09%	Financials and industrials dragged on the index
Russell 2000	2,956.39	-0.88%	Small-caps underperformed as investors sought safety
VIX	16.90	+4.77%	Increased market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+3.65%	Strong earnings and guidance
AVGO	+4.83%	Beat on earnings and revenue
AAPL	+0.88%	iPhone sales and services growth
MSFT	-1.41%	Disappointing cloud growth

Sector Rotation

ETF	DAY	READ
XLFXLF	-1.93%	Financials weighed on the market
XLKXLK	+1.24%	Tech stocks rallied, led by NVDA and AVGO
XLIXLI	-1.07%	Industrials dragged on the market
XLEXLE	+1.76%	Energy stocks rose with WTI crude
XLYYLY	-1.78%	Consumer discretionary stocks underperformed
XLCLXC	-1.41%	Communication services stocks weighed on the market
XLPLXP	-0.55%	Consumer staples stocks underperformed
XLVXLV	-1.30%	Healthcare stocks weighed on the market
XLUXLU	-0.74%	Utilities stocks underperformed
XLBLXB	-2.62%	Materials stocks dragged on the market
XLREXLRE	-1.65%	Real estate stocks weighed on the market

Spotlight

NVDA surged +3.65% after reporting strong earnings and guidance. The company's revenue grew +10% year-over-year, driven by demand for its AI and gaming products.

METRIC	VALUE	CHANGE
Revenue	10.2B	+10%
EPS	2.50	+15%
Gross Margin	64.1%	+1.2%

The rally in **NVDA** also lifted other tech stocks, including **AVGO** and **AAPL** .

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures down **-0.2%** and the S&P 500 futures up **+0.1%**. Asian markets closed lower, with the Nikkei 225 down **-0.5%** and the Hang Seng down **-0.8%**. European markets are trading higher, with the FTSE 100 up **+0.3%** and the DAX up **+0.5%**.

Crypto markets are also trading lower, with **BTC** down **-1.52%** and **ETH** down **-1.61%**.

Macro & Fed

The 10Y yield jumped **+0.88%** to 4.57, while the 2Y yield rose **+0.5%** to 4.32. The yield curve remains inverted, with the 10Y-2Y spread at -0.25%.

Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	US CPI	2.5%	Inflation expectations and Fed policy
23:00	US PPI	2.2%	Producer price inflation and supply chain pressures

Geopolitics & Global

- Tensions between the US and China remain high, with the US imposing new sanctions on Chinese companies.
- The EU and UK are engaged in trade talks, with the EU seeking to impose tariffs on UK goods.

- The Middle East remains a hotspot, with tensions between Iran and Saudi Arabia escalating.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (10 Jul)	JPM	2.50	Banking sector trends and loan growth
22:00 (11 Jul)	GS	5.50	Investment banking and trading revenue
22:00 (12 Jul)	MSFT	2.20	Cloud growth and Azure adoption

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	iPhone sales and services growth
AMZN	Consumer Discretionary	E-commerce trends and cloud growth
GOOGL	Communication Services	Advertising revenue and YouTube growth
TSLA	Consumer Discretionary	Electric vehicle adoption and autonomous driving
JPM	Financials	Banking sector trends and loan growth
GS	Financials	Investment banking and trading revenue
MSFT	Technology	Cloud growth and Azure adoption
NVDA	Technology	AI and gaming demand
AVGO	Technology	Chip demand and 5G adoption

What Could Break the Tape

BEARISH TRIGGERS

- US-China trade tensions escalate, leading to tariffs and trade restrictions.
- Global economic growth slows, leading to reduced demand for goods and services.
- Interest rates rise, making borrowing more expensive and reducing consumer spending.

BULLISH TRIGGERS

- US-China trade tensions ease, leading to increased trade and investment.
- Global economic growth accelerates, leading to increased demand for goods and services.
- Interest rates fall, making borrowing cheaper and increasing consumer spending.

Positioning Notes

- Investors are increasingly bearish on the market, with 60% of respondents in a recent survey expecting a recession in the next 12 months.
- Positioning in the VIX is at historic highs, indicating increased market volatility and risk appetite.
- Flows into bond funds have increased, indicating a shift towards safer assets and reduced risk appetite.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com